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G10 FX Strategy | Japan

Waiting for a Dip-Buying Opportunity

USD/JPY is again approaching the July 2024 high, but the rally has been driven more by broad USD strength rather than broad JPY weakness, suggesting that MoF's intervention may not be imminent. We see USD/JPY as close to fair value. We remain neutral on USD/JPY and await a clearer entry point for dip-buying.

Key Takeaways

- The USD/JPY rally has shifted from yen weakness to broad USD strength. This distinction matters for intervention risk, as authorities are typically more sensitive to speculative yen selling than to generalized USD appreciation.
- Intervention risk has increased, but imminent action does not yet appear likely. The MoF has stepped up verbal warnings, but has not yet characterized recent FX moves as clearly "speculative."
- USD/JPY looks close to fair value on our three-factor framework. The key inputs remain US terminal-rate pricing, global risk sentiment, and Japan's terms of trade.
- Lower oil prices and weak global risk sentiment are supportive for the yen outside USD crosses.
- We remain neutral on JPY given the concern for the potential intervention and await a clearer dip-buying opportunity.

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Currency & Foreign Exchange

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Still range-bound market

Following the MoF's FX intervention from late April to early May, USD/JPY briefly declined to the 155 area. Since then, however, the pair has gradually retraced the decline and is now approaching the 161.95 high reached on July 3, 2024.

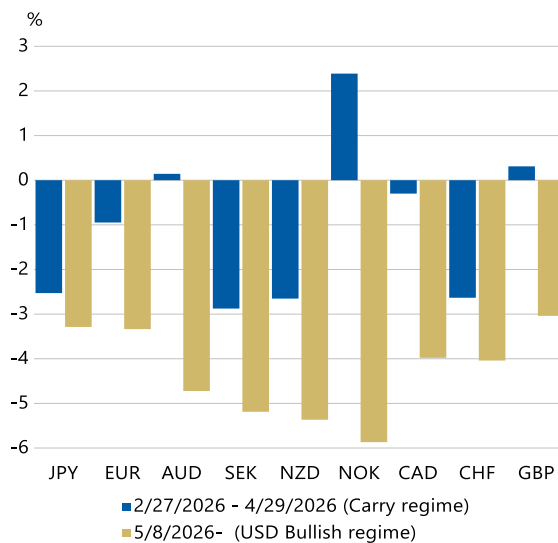
That said, the dynamics behind USD/JPY appear to have shifted. From late February, when Middle East tensions began to intensify, until the MoF intervention, the USD/JPY rally was driven mainly by yen weakness. Post-intervention, the rally has instead been led more by broad USD strength (see [Exhibit 1](#)).

As shown in "[What could change the weaker JPY trend?](#)", the period into May was largely characterized by what our [USD framework](#) defines as a "Carry Regime", in which US real rates and breakevens rise simultaneously (see [Exhibit 2](#)).

Even after the temporary ceasefire in early April, inflation concerns remained elevated amid ongoing disruption to the Strait of Hormuz. At the same time, US economic data continued to look resilient despite Middle East tensions, while financial conditions stayed supportive.

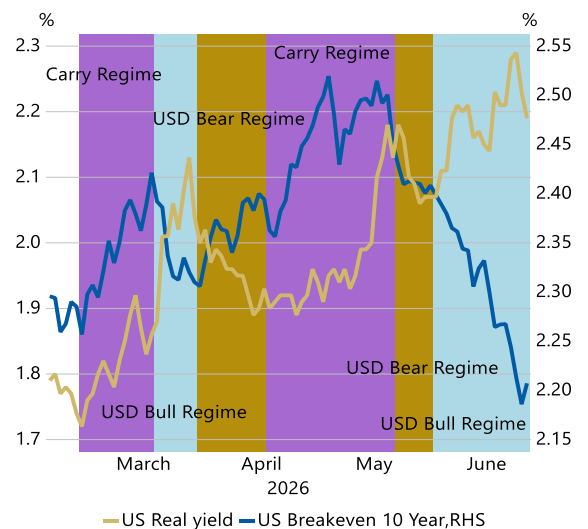
Since mid-May, the regime appears to have broadly shifted to a "USD Bullish Regime", where US real rates rise, but breakeven fall. As the Middle East situation moved toward an agreement, oil prices declined and inflation concerns eased. At the same time, a more hawkish FOMC stance and weakness in AI-related equities weighed on risk sentiment.

Exhibit 1: G10 FX spot performance: From Middle East tension to MoF's intervention versus after MoF's intervention to date



Source: Morgan Stanley Research, Bloomberg

Exhibit 2: US breakeven versus real yield movement



Source: Morgan Stanley Research, Bloomberg

In the former regime, JPY tends to underperform the most, given its role as a funding currency. In the latter regime, JPY tends to underperform USD but is more likely to outperform risk-sensitive currencies (see [Prepare for the Defense Regime](#)). Recent JPY performance has broadly been consistent with this regime framework.

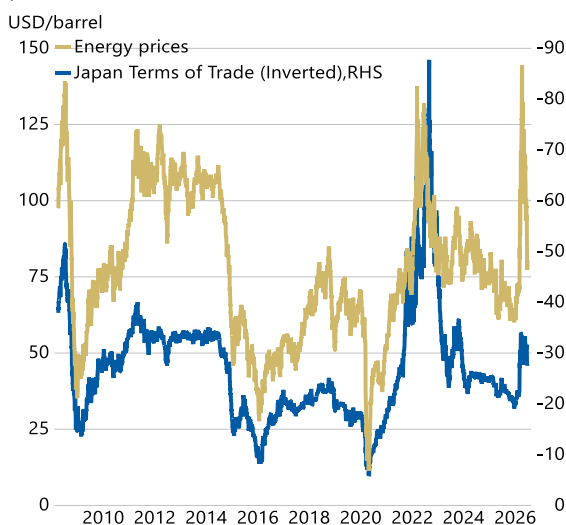
As discussed in "[What could change the weaker JPY trend?](#)", recent USD/JPY moves can be largely explained by three factors: **1) market pricing of the US terminal rate; 2) global risk sentiment, as proxied by the relative performance of equities and bonds; and 3) Japan's terms of trade.**

At the current juncture, the US and Iran have agreed on a memorandum of understanding toward a long-term ceasefire, and the Strait of Hormuz appears to be moving toward reopening, albeit potentially on a time-limited basis. The resulting decline in oil prices has supported an improvement in Japan's terms of trade (see [Exhibit 3](#)).

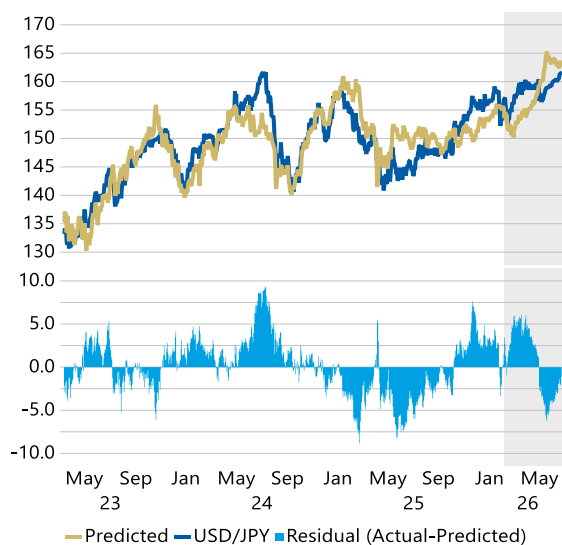
As our economists [have also noted](#), moreover, compared with 2022, the pass-through of AI-related component export prices has been smoother. As a result, Japan's terms of trade have not deteriorated as much as they did during the previous commodity shock.

We think these factors help explain why the JPY has recently shown relatively resilient performance against currencies other than the USD.

That said, following the hawkish FOMC outcome, markets have started to price not only a Fed hold but even the possibility of renewed rate hikes. Against this backdrop, the current level of USD/JPY looks close to the fair value implied by these three factors (see [Exhibit 4](#)).

Exhibit 3: Japan's terms of trade versus energy prices

Source: Morgan Stanley Research, Bloomberg, CITI

Exhibit 4: USD/JPY versus its fair value (US terminal rate pricing, global risk sentiment, and Japan's terms of trade)

Source: Morgan Stanley Research, Bloomberg Note: *Global Risk Demand Index is a proprietary index of risk appetite. US Pat. No. 7,617,143.

As discussed below, the MoF has strengthened its verbal warnings in response to the recent USD/JPY rally. In particular, as Japan's MoF **emphasizes** policy coordination with the US, the risk of coordinated intervention is likely to remain in investors' minds. This may limit the extent to which USD/JPY can move materially above fair value, in our view.

At the same time, we do not expect a large downward revision to USD/JPY fair value either. For fair value to move materially lower, two conditions would likely need to occur simultaneously: **1) markets would need to price aggressive Fed cuts; and 2) global risk sentiment would need to deteriorate significantly, with bonds sharply outperforming equities.**

Such a combination would be consistent with the "Defense Regime" in our USD framework, characterized by simultaneous declines in US real rates and breakevens. More generally, it is a regime in which a sharp slowdown in US demand brings disinflation into focus and leads markets to price substantial Fed easing.

At present, US growth and labor-market data remain resilient. Middle East tensions are also easing following the US-Iran MOU aimed at a long-term ceasefire. Our US economists **expect** the decline in oil-price risk and the lower probability of a near-term energy-driven inflation shock to limit second-round effects and support real income.

In this environment, a near-term US recession appears unlikely. A more plausible downside scenario would involve emerging profitability concerns around the AI sector, leading to a sharp slowdown in AI-related capex – an important driver of growth – and exerting downward pressure on risk markets.

For these reasons, we maintain a neutral stance on USD/JPY and await a clearer dip-buying opportunity, particularly in the event of a potential MoF intervention.

Possibility of FX intervention

As noted above, USD/JPY has moved closer to the 161.95 high reached in 2024, and investor questions about another round of FX intervention have started to increase again.

From the perspective of the FX level alone, intervention at any time would not be surprising. However, based on recent comments from senior MoF officials, actual intervention still appears some distance away.

Finance Minister Katayama [has stated](#) that the authorities stand ready to take decisive action at any time if necessary. **However, recent remarks have not included language that clearly defines current FX moves as “speculative.”**

Historically, FX intervention has tended to be implemented after authorities confirm that positions are significantly skewed in one direction and deemed speculative, in order to maximize the effect of intervention (see [Exhibit 5](#) and [Exhibit 6](#)).

Exhibit 5: History of recent FX intervention

Period	Actual Intervention	Messages from officials immediately before the intervention
March 17–18, 2011	Yen-selling intervention through G7 coordination in response to the yen's sharp appreciation after the Great East Japan Earthquake.	The G7 statement explicitly stated that, in response to movements in the yen exchange rate associated with the events in Japan, coordinated intervention would be conducted on March 18 at Japan's request. It also stated that “excess volatility and disorderly movements in exchange rates have adverse implications for economic and financial stability.”
31 October 2011	Yen-selling intervention	After the yen hit a record high against the dollar, Finance Minister Azumi said he would take “decisive action” against speculative moves . On October 24, he also said that the authorities would respond decisively to excessive and speculative FX moves, and that the yen's strength did not reflect fundamentals.
September 14–22, 2022	Yen-buying intervention (JPY 2.8382 trillion)	On September 14, it was reported that the authorities conducted a rate check in response to the yen's depreciation. Finance Minister Suzuki described recent moves as “rapid and one-sided,” including speculative activity , and stated that authorities would respond “without ruling out any options” if such moves continued.
October 20–24, 2022	Yen-buying intervention JPY 5.6202 trillion on October 21, and JPY 729.6 billion on October 24.	On October 20, after the yen broke through 150 against the dollar, Vice Finance Minister for International Affairs Kanda stated that excessive volatility was becoming increasingly unacceptable and that authorities stood ready to act. Finance Minister Suzuki also described speculative-driven moves as “unacceptable” and reiterated that authorities would take “decisive action” if necessary.

Source: Japan MoF, Various Media article, Morgan Stanley Research

Exhibit 6: History of recent FX intervention

Period	Actual Intervention	Messages from officials immediately before the intervention
March 27–April 29, 2024	Yen-buying intervention JPY 5.9185 trillion on April 29, and JPY 3.87 trillion on May 1st.	Immediately before the April 29, 2024 intervention, Kanda described market moves as “ speculative , rapid, and abnormal,” and stated that they could not be overlooked.
Late June–July 12, 2024	Yen-buying intervention JPY 3.1678 trillion on July 11, and JPY 2.367 trillion on July 12.	On June 26, Vice Finance Minister Kanda said that he was “seriously concerned” about the yen’s sharp decline and was monitoring developments with a “high sense of urgency.” On July 12, he reiterated that the authorities would act in the FX market as needed, while Chief Cabinet Secretary Hayashi also stated that the government was prepared to take “all possible measures” on FX.
Around April 30, 2026	Total intervention amounted to JPY 11.7349 trillion between April 28 and May 27	On April 30, Finance Minister Katayama said that the time for “decisive action” was approaching. Vice Finance Minister for International Affairs Mimura reportedly described the message to speculators as a “final warning to get out.”

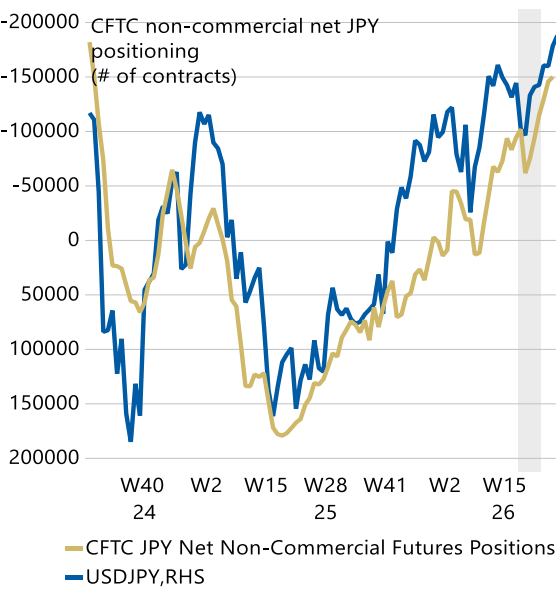
Source: Japan MoF, Various Media article, Morgan Stanley Research

CFTC data suggest that speculative JPY short positions have continued to build after the previous intervention (see [Exhibit 7](#)). In the spot market, overseas non-residents also appear to maintain strong demand for yen funding through FX swaps and related channels (see [Exhibit 8](#)).

Even so, since the late-April intervention, the rise in USD/JPY has been driven mainly by broad USD strength (see [Exhibit 1](#)). The JPY has, in fact, outperformed other G10 currencies excluding the USD. This price action may indicate that the authorities are not yet fully convinced that speculative JPY shorts have become excessive.

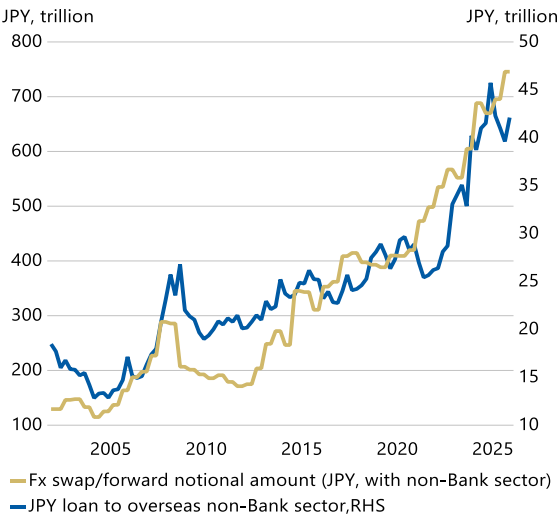
If USD/JPY were to rise sharply from here on the back of renewed JPY weakness, we think the MoF may be more likely to characterize the move as “speculative.” In that case, the likelihood of FX intervention could rise.

Exhibit 7: USD/JPY versus CFTC non-commercial net JPY positioning



Source: CFTC, Morgan Stanley Research

Exhibit 8: Funding needs for JPY via offshore non-bank financial sectors



Source: BIS, Morgan Stanley Research

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